

26SMCV01866 26SMCV01866

County: los-angeles

Division: Civil Law and Motion

Department: 205

Hearing date: 2026-08-04

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Case Number: 26SMCV01866 Hearing Date: August 4, 2026 Dept: 205

Court of California

County of Los Angeles – West District

Beverly Hills Courthouse / Department 205

DOUGLAS EMMETT 1995, LLC,

Plaintiff,

v.

WORLD CLASS FUNCTIONAL TRAINING, LLC, et al.,

Defendants.

Case No.: 26SMCV01866

Date: August 4, 2026

ORDER RE:

DEFENDANT'S MOTION

FOR LEAVE TO FILE CROSS-

COMPLAINT

BACKGROUND

Plaintiff Douglas Emmett 1995, LLC entered into a written office lease agreement ("Lease") with Defendant World Class Functional Training, LLC ("Tenant"). Defendant Body Fit Training Unit Trust ("Guarantor"), guaranteed Tenant's rent obligations. Plaintiff claims Tenant prematurely vacated the premises, Plaintiff has attempted to relet the premises but has been unable to do so, and therefore, Tenant and Guarantor are liable for rent and other obligations under the Lease.

Defendants filed an answer on June 22, 2026, which did not allege any cross-claims. Defendants now seek leave to allege cross-claims for breach of contract, breach of the implied covenant of good faith and fair dealing, intentional interference with prospective economic advantage, negligent interference with prospective economic advantage and declaratory relief. The claims are based on Plaintiff's alleged obstruction of Tenant's contractual right to assign its tenancy to a qualified Body Fit Training franchisee.

Defendants argue that their cross-claims arise out of the same lease transaction and same nucleus of operative facts as the Complaint; their counsel had not assembled the facts supporting the cross-claims until the Answer was filed; their cross-claims are mandatory and if leave is not granted, they will be waived, and there will be no prejudice to Plaintiff because the motion for leave to file a cross-complaint was filed within days of the Answer, there has been no discovery and trial has not yet been set. There was no opposition filed as of the posting of this tentative ruling.

LEGAL STANDARD

Generally, a party must file a cross-complaint against any of the parties who filed the complaint or cross-complaint against him or her before or at the same time as the answer to the complaint or cross-complaint. (Code Civ. Proc., § 428.50(a).) Otherwise, a party must obtain leave of court to file any cross-complaint. (Code Civ. Proc., § 428.50(c).)

The court may grant leave to file a cross-complaint if the failure to plead a cause of action was the result of oversight, inadvertence, mistake, neglect, or other cause. (Code Civ. Proc., § 426.50.) Where the proposed cross-complaint arises out of the same transaction as the plaintiff's claim, the court must grant leave to file the cross-complaint as long as the defendant is acting in good faith. (Id.) Judicial policy favors resolution of all disputed matters between the parties in the same lawsuit and discretion will usually be exercised liberally to permit amendment of the pleadings. (Nestle v. Santa Monica (1972) 6 Cal.3d 920, 929.)

DISCUSSION

Defendants' proposed cross-claims against Plaintiff are compulsory. They arise from the same leasing transaction as the Complaint. Because the claims are compulsory, leave to allow the filing of the cross-complaint is mandatory unless there is a showing of bad faith on the part of Defendants. There is no evidence of any bad faith on the part of Defendants. Indeed, Plaintiff has not opposed the motion for leave to file a cross-complaint. Accordingly, the Court must grant Defendants' motion. (Silver Organizations Ltd. v. Frank (1990) 217 Cal.App.3d 94, 98-99 [finding that leave to file compulsory cross-complaint mandatory absent bad faith, even on the eve of trial].)

CONCLUSION AND ORDER

For the foregoing reasons, the Court GRANTS the motion for leave to file cross-complaint.

IT IS SO ORDERED.

DATED: August 4, 2026 _____

Edward B. Moreton, Jr.

Judge of the Superior Court